

Chapter 3 for details on how.) Credit reporting agencies are notorious for making mistakes.

- **Before you start house hunting, call your bank or a mortgage company and say you want to get “prequalified” for a mortgage.** Prequalification is a way for lenders to give prospective buyers a sense of whether they can qualify for a mortgage, and, if so, how large a mortgage they can get. It’s something you can do very quickly online or by phone. Although prequalification doesn’t mean you have a guaranteed mortgage from the lender, it is a way to get a rough idea of what kind of mortgage you *might* be able to get. Once you have a ballpark figure, you can use it when shopping around as long as you are comparing similar loan products.
A word of warning: Even in today’s more cautious lending environment, banks have a vested interest in getting you into the largest loan you qualify for because they make more money in interest on them. Just because a bank tells you that you can afford a certain loan doesn’t mean you should take it. Many new homeowners believe the old adage that you should try to get the most expensive home you can afford. Don’t do it. You need to take a realistic look at what payments your current lifestyle can handle and whether you’re willing to scale back in other ways to make them on time.

THE PROBLEM WITH ADJUSTABLE-RATE MORTGAGES

When my friends Nicole and Jimmy found their dream house, they were thrilled to find a lender offering an adjustable-rate mortgage (ARM) with an introductory (sometimes called a “teaser”) rate of 5%. They assumed that if interest rates in the economy held steady, their rate would remain the same. Unfortunately, that’s not the way it always works. Even if the interest rates in the economy *fell* slightly, their ARM rate could increase to 7% the next year.